Supply Chain Performance Review

Meridian Industrial Systems Limited | Quarter 2, FY2025-26 (01 July 2025 to 30 September 2025) | Issued 18 October 2025 by the Supply Chain Performance Office. All values in Indian Rupees (Rs.); 1 lakh = 100,000 and 1 crore = 10,000,000.

1. Executive summary

Total procurement spend for the quarter was **Rs. 214.70 crore**, 6.2% higher than Q1 FY26, on a build volume 4.1% higher. Composite on-time delivery across all direct-material suppliers was **92.4%** against a target of 95.0%, a decline of 1.3 percentage points from the previous quarter.

Four direct-material suppliers delivered below 90% on-time in the quarter: Kaveri Metals Ltd, Rashmi Fasteners Pvt Ltd, Nandi Castings Ltd and Coastal Logistics Services. Seven production line stoppages were recorded, costing **41.5 hours** of lost production. The cost of poor quality was **Rs. 3.82 crore**, up from Rs. 3.15 crore in Q1 FY26.

Two matters are carried forward for procurement action: recoveries against Kaveri Metals Ltd and Trident Polymers Ltd have not yet been raised, and the safety stock held on imported microcontroller MCU-4471 has not been revised since the replenishment lead time lengthened. Both are set out in sections 6 and 5 respectively. The applicable rules are held in the Procurement Policy Handbook and are not reproduced in this review.

Indicator	Q4 FY25	Q1 FY26	Q2 FY26	Target
Total procurement spend (Rs. crore)	195.10	202.20	214.70	-
Composite on-time delivery (%)	94.6	93.7	92.4	95.0
Composite defect rate (PPM)	480	545	610	400
Line stoppage hours attributable to suppliers	22.0	31.5	41.5	0.0
Cost of poor quality (Rs. crore)	2.71	3.15	3.82	-
Raw material days of cover	34	36	38	32

2. Supplier scorecards

2.1 Top ten suppliers by spend

The ten suppliers below account for Rs. 194.30 crore of the Rs. 214.70 crore total spend. Spend is the value invoiced by the supplier during the quarter. The composite score and the band are calculated by the Supply Chain Performance Office using the weightings defined in the Procurement Policy Handbook.

Supplier	Commodity	Spend (Rs. cr)	On-time delivery (%)	Defects (PPM)	Composite score	Band
Sundaram Forge Pvt Ltd	Machined castings	38.40	96.2	210	94.1	A
Kaveri Metals Ltd	Sheet metal and extrusions	31.75	88.1	1,150	74.6	C
Trident Polymers Ltd	Moulded plastic components	24.90	91.4	640	83.2	B
Anantha Electronics Ltd	PCB assemblies	22.15	93.8	480	86.5	B
Deccan Precision Tools	Tooling and fixtures	18.60	97.1	95	95.8	A
Vertex Microsystems Pte Ltd	Microcontrollers (imported)	16.85	90.6	150	84.0	B
Rashmi Fasteners Pvt Ltd	Fasteners	12.30	84.7	1,420	66.3	D
Coastal Logistics Services	Inbound freight	11.20	89.3	not applicable	78.4	C

Supplier	Commodity	Spend (Rs. cr)	On-time delivery (%)	Defects (PPM)	Composite score	Band
Girija Rubber Works	Seals and gaskets	9.45	94.9	320	87.6	B
Nandi Castings Ltd	Grey iron castings	8.70	86.5	890	72.9	C

Sundaram Forge Pvt Ltd is the highest-spend supplier of the quarter at Rs. 38.40 crore, with on-time delivery of 96.2%.

2.2 Three-quarter trend for suppliers of concern

The table records on-time delivery and the awarded band for the three most recent quarters, so that consecutive-quarter conditions can be established.

Supplier	OTD % Q4FY25	OTD % Q1FY26	OTD % Q2FY26	Band Q4FY25	Band Q1FY26	Band Q2FY26
Kaveri Metals Ltd	91.2	89.4	88.1	B	C	C
Rashmi Fasteners Pvt Ltd	88.0	86.2	84.7	C	D	D
Nandi Castings Ltd	90.1	88.9	86.5	B	C	C
Coastal Logistics Services	92.4	90.8	89.3	B	B	C
Trident Polymers Ltd	93.0	92.1	91.4	B	B	B

Bands awarded for Q2 FY26. Kaveri Metals Ltd is band C. Nandi Castings Ltd is band C. Coastal Logistics Services is band C. Rashmi Fasteners Pvt Ltd is band D. Every other supplier listed in section 2.1 is band A or band B. Four suppliers therefore sit below band B this quarter.

Kaveri Metals Ltd and Nandi Castings Ltd have now delivered below 90% on-time for two consecutive quarters, and have been in band C for two consecutive quarters. Rashmi Fasteners Pvt Ltd has delivered below 90% for three consecutive quarters and has been in band D for two consecutive quarters. Coastal Logistics Services has fallen below 90% for the first time and is in band C for the first time.

3. Freight lane cost performance

Freight is reported separately from the material spend in section 2. Total inbound and inter-plant freight for the quarter was **Rs. 5.75 crore**.

Lane	Mode	Volume	Cost per unit (Rs.)	Lane cost (Rs. lakh)	Change vs Q1 FY26
Penang to Chennai	Air freight	34 shipments	3.18 lakh per shipment	108.12	+11.4%
Shenzhen to Chennai	Sea, full container	96 containers	2.42 lakh per container	232.32	-3.1%
Chennai to Pune (inter-plant)	Road, full truck	412 trips	41,800 per trip	172.22	+2.6%
Coimbatore to Chennai	Road, part truck	288 trips	18,600 per trip	53.57	+0.9%
Chennai Port to plant (drayage)	Road	96 moves	9,400 per move	9.02	+4.2%
Total				**575.25**	

The Penang to Chennai air lane is used as the contingency lane for imported electronics. Its cost rose 11.4% in the quarter because six unplanned air shipments were raised to cover the microcontroller shortage described in section 5.

4. Inventory position at 30 September 2025

Category	Value (Rs. crore)	Days of cover	Target days of cover
Raw material and bought-out components	47.30	38	32
Work in progress	12.85	9	8
Finished goods	21.40	17	15
Total inventory	**81.55**	-	-

Slow-moving and excess stock stood at Rs. 6.12 crore, of which Rs. 2.44 crore is imported electronic components held as buffer. Raw material days of cover are 6 days above target, driven mainly by the two sea-freight lanes arriving in larger, less frequent lots.

5. Critical imported part - microcontroller MCU-4471

MCU-4471 is a 32-bit motor-control microcontroller used on every variant built at the Chennai plant. It is supplied only by Vertex Microsystems Pte Ltd from Penang, Malaysia. No alternate source is qualified. The part is classified internally as a Class-A part because a shortage stops final assembly within two working days.

Parameter	Value
Part number and description	MCU-4471, 32-bit motor-control microcontroller
Supplier	Vertex Microsystems Pte Ltd, Penang, Malaysia
Sourcing profile	Imported, single source, no qualified alternate
Supplier production lead time	24 days
Ocean transit time, Penang to Chennai	16 days
Customs clearance and inbound inspection	6 days
Total replenishment lead time	**46 days**
Average daily demand	220 units per day
Standard deviation of daily demand	38 units per day
Safety stock currently held	9 days of cover, equal to 1,980 units
Last safety stock revision	March 2024, against a lead time of 28 days

The replenishment lead time has lengthened from 28 days to 46 days since the safety stock was last set. The holding of 9 days of cover has not been recalculated. The calculation method and the minimum holding required are defined in the Procurement Policy Handbook, not in this review. A stock-out of MCU-4471 on 05 August 2025 stopped Sub-assembly Cell C for 9.0 hours (section 6, event 3).

6. Production line stoppages attributable to suppliers

Seven stoppages were recorded in the quarter, totalling **41.5 hours** of lost production. Lost contribution margin is valued at Meridian's standard rate of Rs. 4.5 lakh per hour of line downtime, giving **Rs. 1.87 crore** for the quarter. No recovery has yet been raised against any supplier for these stoppages.

#	Date	Line affected	Downtime (hours)	Part	Supplier	Cause
1	14 Jul 2025	Assembly Line 2	6.5	Sheet metal bracket SM-2210	Kaveri Metals Ltd	Late delivery; vehicle detained at state check post
2	22 Jul 2025	Assembly Line 1	4.0	Fastener kit FK-118	Rashmi Fasteners Pvt Ltd	Dimensional rejection at incoming inspection
3	05 Aug 2025	Sub-assembly Cell C	9.0	Microcontroller MCU-4471	Vertex Microsystems Pte Ltd	Stock-out during customs clearance delay at Chennai port
4	18 Aug 2025	Assembly Line 2	3.5	Moulded housing MP-540	Trident Polymers Ltd	Short shipment; 38% of the ordered quantity received
5	27 Aug 2025	Paint shop	5.5	Grey iron casting GC-77	Nandi Castings Ltd	Porosity defects found after machining; batch quarantined
6	09 Sep 2025	Assembly Line 1	7.0	Sheet metal panel SM-3140	Kaveri Metals Ltd	Weld distortion outside tolerance; batch quarantined
7	24 Sep 2025	Sub-assembly Cell C	6.0	Seal kit SK-92	Girija Rubber Works	Tool breakdown at the supplier's works
	Total		**41.5**			

6.1 Downtime by cause

Cause category	Events	Downtime (hours)	Share of total
Late delivery or logistics delay (events 1, 3)	2	15.5	37.3%
Defective material rejected (events 2, 5, 6)	3	16.5	39.8%
Short shipment (event 4)	1	3.5	8.4%
Supplier plant or tooling breakdown (event 7)	1	6.0	14.5%
Total	**7**	**41.5**	**100.0%**

Kaveri Metals Ltd is the largest single contributor, responsible for two events and 13.5 hours of downtime, equal to 32.5% of the quarter's total.

7. Quality performance

Defect rates are stated in defects per million parts received (PPM), measured at incoming inspection and on the line, for the quarter to which the scorecard relates.

Supplier	PPM Q1 FY26	PPM Q2 FY26	Trend	Quality incidents recorded in Q2 FY26	Sorting and rework cost recovered (Rs. lakh)
Rashmi Fasteners Pvt Ltd	1,310	1,420	Worse	5	0.00 (debit note disputed)
Kaveri Metals Ltd	940	1,150	Worse	4	0.00 (not yet raised)
Nandi Castings Ltd	810	890	Worse	3	6.40
Trident Polymers Ltd	520	640	Worse	3	0.00 (not yet raised)
Anantha Electronics Ltd	610	480	Better	2	4.10
Girija Rubber Works	300	320	Broadly flat	1	0.00
Sundaram Forge Pvt Ltd	240	210	Better	1	0.00

Supplier	PPM Q1 FY26	PPM Q2 FY26	Trend	Quality incidents recorded in Q2 FY26	Sorting and rework cost recovered (Rs. lakh)
Vertex Microsystems Pte Ltd	180	150	Better	1	0.00
Deccan Precision Tools	120	95	Better	0	0.00

7.1 Cost of poor quality

Element	Q1 FY26 (Rs. crore)	Q2 FY26 (Rs. crore)
Scrap	1.21	1.44
Rework	0.82	0.98
Sorting and containment	0.57	0.71
Warranty and field returns	0.55	0.69
Total	**3.15**	**3.82**

No debit note or cost recovery has been raised against Kaveri Metals Ltd or Trident Polymers Ltd for Q2 FY26. Procurement is to establish the applicable clauses in the Procurement Policy Handbook and raise the recoveries in Q3 FY26.

8. Supply risk register

ID	Risk	Exposure	Likelihood / impact	Owner	Status note
R-01	Single source on 32-bit microcontrollers MCU-4471 and MCU-4480, supplied only by Vertex Microsystems Pte Ltd, Penang	Rs. 16.85 crore of quarterly spend	Medium / High	Category Manager, Electronics	No alternate source qualified. The qualification project has been open since Q3 FY25, which is four quarters.
R-02	Kaveri Metals Ltd performance decline: 88.1% on-time delivery and 1,150 PPM in Q2 FY26	Rs. 31.75 crore of quarterly spend	High / High	Head of Supply Chain	Second consecutive quarter below 90% on-time and second consecutive quarter in band C. Recoveries not yet raised.
R-03	Replenishment lead time on imported electronics has lengthened from 28 days to 46 days	Assembly stops within 2 working days of a stock-out	High / High	Head of Materials Planning	Safety stock still set at the FY24 level of 9 days of cover.
R-04	Air-freight cost escalation on the Penang to Chennai contingency lane	Rs. 1.08 crore in the quarter	Medium / Medium	Logistics Manager	Six unplanned air shipments raised in the quarter.
R-05	Rashmi Fasteners Pvt Ltd in band D for two consecutive quarters at 1,420 PPM	Rs. 12.30 crore of quarterly spend	High / Medium	Category Manager, Fasteners	Debit note raised in Q1 FY26 is disputed by the supplier.
R-06	Port congestion at Chennai; average container dwell time up from 3.1 to 4.6 days	All sea-freight lanes	Medium / Medium	Logistics Manager	Monitored weekly. No mitigation cost incurred yet.

9. Actions carried into Q3 FY26

1. Establish the clauses triggered by Kaveri Metals Ltd at 88.1% on-time delivery and 1,150 PPM, and raise the resulting recoveries. Owner: Category Manager, Sheet Metal. Due 15 November 2025.

2. Establish the cost consequence applicable to Trident Polymers Ltd at 640 PPM across three quality incidents, and raise the recovery. Owner: Category Manager, Plastics. Due 15 November 2025.

3. Recalculate the safety stock for MCU-4471 against the current 46-day replenishment lead time and the applicable minimum floor. Owner: Head of Materials Planning. Due 31 October 2025.

4. Bring the single-source position on microcontrollers into line with the sourcing policy, including buffer cover and the alternate-source qualification plan. Owner: Category Manager, Electronics. Due 30 November 2025.

5. Enter every supplier whose band is below B on the Watch List and start the escalation stage applicable to each. Owner: Head of Supply Chain. Due 31 October 2025.

This review reports measured performance only. Approval limits, penalty clauses, safety stock rules, classification categories and escalation stages are defined in the Meridian Procurement Policy Handbook, version 4.2.